



CFA Institute

CFA Institute Research Challenge

hosted by: CFA Society of Orange County

Bronco Asset Management (BAM): Equity Research Division

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Recommendation: SELL**Current Price: \$7.50 as of 1/26/2024****Target Price: \$5.50***Prepared by: J. Gonzalez, J. Hernandez,
I. Marquez, G. Serrano, & C. Zavala***“No Tailwind for Tilly’s”**

January 26, 2024

Bronco Asset Management (BAM): Equity Research Division

Exhibit A-1

Ticker	TLYS
Exchange	NYSE
Sector	Consumer Discretionary
Industry	Specialty Retail
Target Price	\$5.50
Last Close	\$7.50
Potential Downside	-26.7%
Market Cap (\$MM)	\$224.8
52-Week High	\$9.50
52-Week Low	\$6.05

Exhibit A-2

	Median	Weight
FCFF	\$4.65	50%
RV	\$5.81	50%
Current Price	\$7.50	
Weighted Price	\$5.50	
Upside/Downside	-26.7%	

Executive Summary

We initiate coverage on Tilly’s, Inc. (NYSE: TLYS) with a SELL recommendation based on a target price of \$5.50, implying a -26.7% downside as of the last closing price of \$7.50 on January 26, 2024. This target price is calculated using a weighted average of a relative valuation (RV) and a discounted cash flow (DCF) model via the free cash flow to firm (FCFF) approach. The primary reasons reinforcing our analysis and recommendation are as follows:

Wage Increases Putting Pressure on Margins: Tilly’s wages have increased as three of the company’s largest foothold states (California, Florida, and Arizona) have seen upwards of a 30% rise in minimum wage over the last five years. Additionally, the company’s persistent inauguration of stores has added to its overall expenses as its labor and rent expense per store rose 15% from 2020 to 2023 while revenue per store declined -1.8% over the same period.

Decreasing Consumer Discretionary Spending as Savings Rates Plummet: The ongoing exit from a high inflationary period, in addition to battling high interest rates and depleted consumer savings, has left discretionary spending exhausted. The comparison of 2022 to 2023 has demonstrated negative YOY revenue percentage change generated by specialty retail stores with Tilly’s specifically seeing a -13% drop vs the -7% comparable average.

Questionable Voting Power Allocation Leaves Founders with Majority Leverage: All class B shares in Tilly’s are held by founders Hezy Shaked and Tilly Levine, allotting them a combined 76.4% of shareholder voting power. This uneven distribution raises concerns about the prioritization of shareholder value creation, given that pivotal decisions are centralized between the two founders. The company’s unfavorable financial performance and absence of growth amplify the imbalance in voting power and make it more concerning from the perspective of minority shareholders.

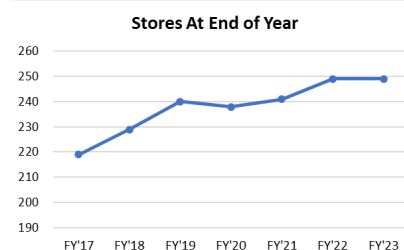
Lacking Retail & E-Commerce Growth Strategy: The structural shift toward e-commerce will subject the company to a more competitive online platform while diminishing its advantage of an “in-store experience”. In 2024, the company will face 100 lease contract renewals (accounting for 40% of total stores) while planning to “aggressively” exit underperforming locations to cut costs. Additionally, the company must reassess their store locations found in markets with declining foot-traffic, including malls and strip-centers.

Inadequate Merchandise Model: Tilly’s must retain a large portion of third-party brands to preserve its identity as a one-stop shop that offers a variety of clothes. The move to online shopping will hurt Tilly’s’ customer traffic and make it susceptible to relationship risk with third-party brands. Primarily, customers will be more likely to buy directly from the third-party’s website rather than through Tilly’s.

Valuation Estimates: Our valuation gives us a price target in the range of \$4.65 to \$5.81. Our final weighted average applying a 50/50 mix of RV and DCF models produces a price target of \$5.50.

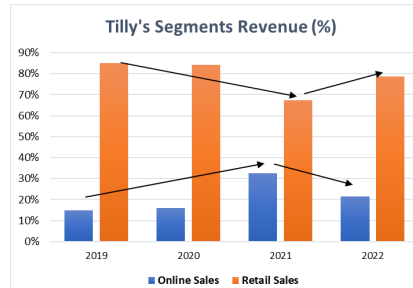
Key Financials	2022A	2023A	2024E	2025E	2026E	Trend
Revenue (\$MM)	672	620	639	661	685	
Gross Margin (%)	35.6	26.5	27.9	29.5	31	
EBITDA Margin (%)	3.7	-3.1	2.7	4.3	5.7	
Profit Margin (%)	1.4	-3.8	0.3	1.9	3.3	

Exhibit B-1



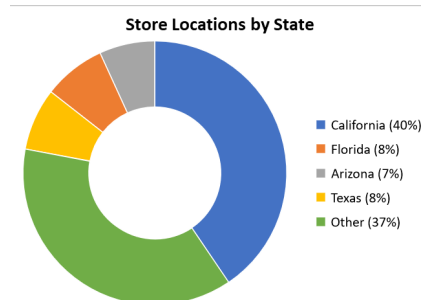
(Source: Refinitiv)

Exhibit B-2



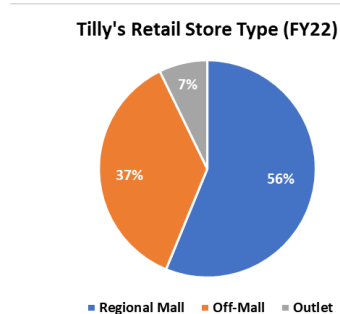
(Source: 10k)

Exhibit B-3



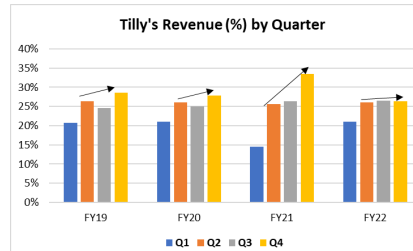
(Source: Bloomberg)

Exhibit B-4



(Source: 10k)

Exhibit B-5



(Source: 10k)

Company Overview

Overview

Tilly's is a specialty retail chain focusing primarily on apparel marketed toward a younger demographic (ages 13-26) of men and women through an assortment of footwear, accessories, and casual clothing. The company was founded in 1982 by Hezy Shaked and Tilly Levine, with headquarters located in Irvine, California. Tilly's is embedded heavily in the surf and skate culture of the West Coast, with a majority of its operations residing in California. The brand attempts to differentiate itself by establishing a distinctive in-store ambiance, made to resonate with its customers' enthusiasm for an outdoor lifestyle. Tilly's aims to continuously expand its physical stores and utilize its distribution center to reach customers outside of its currently established states via its website. The company inaugurated eight new stores by the end of FY2022 (Exhibit B-1) but has remained at a net of zero stores added going into FY2024.

Business Model

Brick-And-Mortar Segment: Tilly's income mainly stems from its physical retail stores, generating about 79% of net sales in FY2022 (Exhibit B-2). The company operates 249 brick-and-mortar stores across 33 states in the U.S. with heavy concentration found in California (101), followed by Texas (19), Florida (19), and Arizona (17). The company's disparity is presented as the remaining stores are thinly spread across 29 states or only about 37% of their total stores (Exhibit B-3). These locations are generally placed under three types of retail centers: regional malls, off-malls, and outlets (Exhibit B-4) and are strategically located near other prominent retailers, allowing for increased foot traffic. Currently Tilly's leases two warehouse distribution centers and one e-commerce fulfillment center through a company owned by the co-founders. Because of the increased competition arising from the store's proximity to nearby retailers, Tilly's aims to differentiate itself by providing a "unique" in-store experience. This distinct experience includes thematic music videos, product-centric visuals, and store associates who share a passion for sports, music, art, and fashion, all contributing to an engaging shopping environment.

E-Commerce Segment: By the start of FY2023, the e-commerce segment accounted for 21% of the company's revenue, a 57% increase since pre-pandemic levels of FY2019. Despite the company's physical absence in 17 states, the website has presented its ability to generate sales across all of the U.S. With a focus on increasing its e-commerce market share, Tilly's capitalizes on its mobile app, loyalty program, and rewards system to enhance customer engagement and convenience. The company aims to differentiate itself by offering customers exclusive access to product launches, events, and promotional deals. Additionally, e-commerce not only offers a preferred shopping alternative to physical stores but also complements the physical store's presence by connecting local customers' frequent engagement of online purchases and allowing them to pick up their orders in-store for convenience.

Growth Avenues

Seasonality: The largest portion of revenue in the apparel retail industry materializes in the holiday season (Q4). Additionally, Tilly's finds strength in the back-to-school season, occurring around the company's third quarter, as its general marketing strategy primarily targets a younger demographic who can find a variety of back-to-school apparel in store. Because of this seasonality, the company's yearly performance relies heavily on consumer spending during these key periods. However, revenue strength during this key quarter has begun to weaken as Tilly's sees a -7% drop in total YOY revenue generated comparing FY2022 to FY2021 (Exhibit B-5). Most recently, in an 8-k, the company reported this continued holiday sales deficiency as they again experienced a -7.4% and -9% drop in YOY holiday revenue and comparable net sales.

Merchandising Strategy: Although Tilly's competitive advantage can be attributed to the wide variety of third-party brands it offers (making up 68% of net sales as of FY2023), the company generally draws higher gross margins from its proprietary merchandise. As of FY2023, no individual third-party brand accounted for more than 5% of the company's total net sales. Tilly's has 20 registered trademarks related to

Exhibit B-6

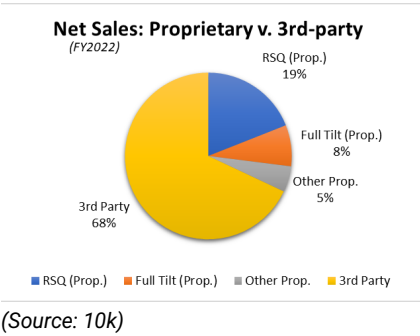


Exhibit C-1

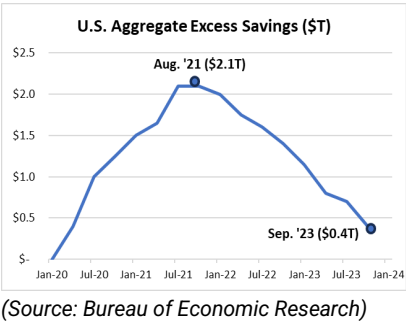


Exhibit C-2

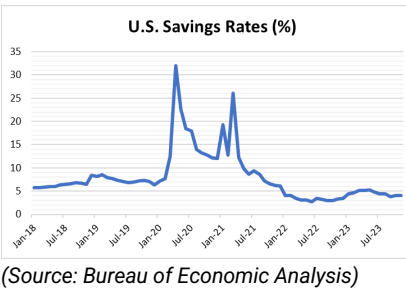


Exhibit C-3

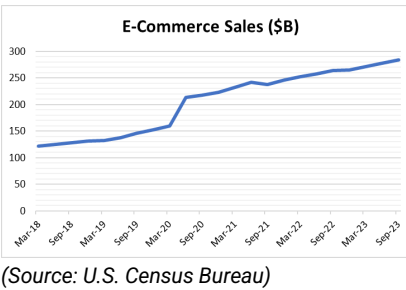
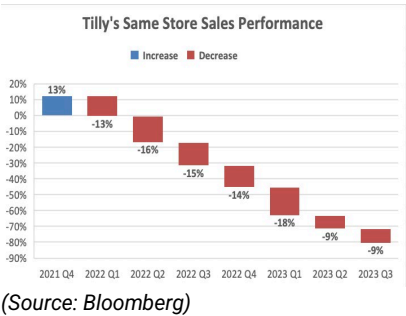


Exhibit C-4



its brands, and in FY2022, its top two sellers came from the proprietary “RSQ” and “Full Tilt” names, with 19% and 8% of total net sales, respectively (Exhibit B-6).

Industry Overview

Current Performance: The specialty retail industry has shown remarkable resilience, recovering steadily post-COVID-19. Per IBISWORLD, the industry's revenue in 2024 is expected to grow towards \$198.7 billion, an increase of 3.1% YoY. Despite the severe disruptions in 2020 due to the pandemic, the industry has managed to realign to pre-pandemic growth rates from pent-up consumer demand and is forecasted to grow at a CAGR of 3.2% for the next five years (IBISWORLD).

Consumer Spending Patterns: In 2023, U.S. consumers demonstrated no spending restraint amid economic pressures, with a sharp nominal 5.6% increase in retail sales on a YOY basis. Furthermore, online sales rose by 6.3%, contributing to a 3.1% boost during the critical holiday season (Value Line). However, three points raise red flags about the longevity of such spending behaviors: the search for deep discounts during the holiday season, record household debt reaching \$17.29 trillion, and excess savings plummeting by 81% or \$1.7 trillion, as noted by a San Francisco FRED Data report (Exhibit C-1). The drastic savings rate decline from April 2020's COVID high of 32% to a current trend of compensatory “revenge spending” bringing it down to 4.1% in November displays a drawback in consumer spending (Exhibit C-2). This is particularly true for the critical demographic of U.S. adults aged 15-64, the retail industry's main consumer base, who now face a multitude of financial difficulties including dwindling savings and persistently sticky inflation rates beyond the Federal Reserve's 2% target.

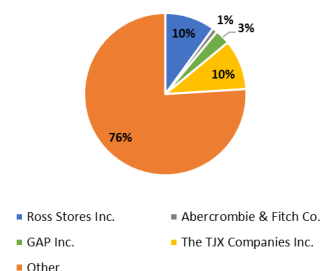
Omnichannel Presence: E-commerce continues to redefine retail, with the U.S. Census Bureau reporting \$284 billion in Q3 2023 sales, representing 15.6% of total sales (Exhibit C-3). A significant contributor is social media, now a powerhouse for e-commerce with its 4.8 billion global users (Forbes). The advertising surge on these platforms has not only increased consumer awareness but also preference for the convenience and competitive pricing of online shopping. Notably, the 'Buy Now Pay Later' (BNPL) services are reshaping payment methods, offering flexibility that is altering consumer purchasing habits. The retail apparel sector, in response to a 10% five-year CAGR in e-commerce sales, faces the challenge of augmenting in-store experiences to counter an 8% post-COVID decline in foot traffic (Shopify). Stores must innovate to enhance convenience and create immersive experiences that draw customers. Tilly's, for example, experienced a 9% drop in Q4 FY23 in comparable same-store sales, a metric reflecting sales growth in stores open for more than one year (Exhibit C-4). This underlines the urgency for retail apparel stores to adapt their strategies to bridge the gap between physical and online sales, ensuring they capture the evolving industry dynamics and focus on operational efficiency.

Intense Competition: In the highly competitive retail clothing industry, large retailers like Ross Stores, Inc., The TJX Companies, Inc., Gap, Inc., and Abercrombie & Fitch Co. leverage economies of scale and brand recognition. However, these large players collectively hold less than 30% of the market share (Exhibit C-5), leaving room for smaller companies to succeed by targeting niche markets and specific customer preferences. Tilly's specifically takes advantage by incorporating the use of its proprietary brands meant to fill niche customer choices and gaps in fashion trends. The threat of substitution looms large with customers having a plethora of brand choices, urging retailers to distinguish themselves through unique styles, quality, and shopping experiences to stay ahead of the fashion trends and meet consumer demands.

Outperformers and Laggards: Companies such as Abercrombie & Fitch, American Eagle Outfitters, and Urban Outfitters have had exemplary performance for 2023 as their stock prices increased 285%, 37%, and 50% respectively. Abercrombie & Fitch has attributed its success to its active role in reducing occupancy costs, remodeling of stores, and simultaneously making improvements and investments to its store fronts and digital channels (Bloomberg). On the other hand, laggards within the industry include Genesco, Zumiez, and Tilly's whose stock prices fell by -23%, -7%,

Exhibit C-5

Specialty Retail Industry Market Share



(Source: IBISWorld)

and -17% for 2023, respectively. Their current underperformance can be attributed to lack luster revenue figures throughout the year while also operating the year with a negative EBIT. Tilly's has faced poor capital employment as is calculated by their return on capital employed (ROCE), dividing EBIT by its working capital. We see Tilly's last twelve-month ROCE only at -40%, falling well below the specialty retail average of 12% (Bloomberg). The laggards mentioned also underperformed on a return on assets (ROA) basis, with Genesco, Zumiez, and Tilly's having an ROA of -0.3%, -2.37%, and -2.88%, well below the industry average of 6.07%. Whereas the outperformers such as Abercrombie & Fitch, American Eagle Outfitters, and Urban Outfitters had a ROA performance of 7.44%, 6.93%, and 6.07% respectively (Bloomberg).

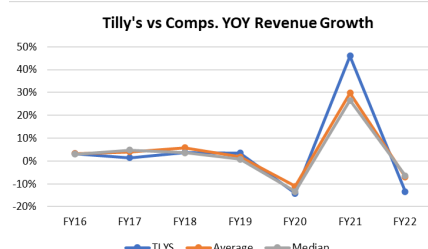
Financial Analysis

Exhibit D-1

Key Financials	FY19A	FY20A	FY21A	FY22A	FY23A	FY24E	FY25E	FY26E	FY27E	FY28E
Revenue (\$MM)	619.3	531.3	775.7	672.3	619.8	639.0	660.5	684.7	710.4	737.7
Diluted EPS	0.76	-0.04	2.06	0.32	-0.78	0.08	0.41	0.72	0.94	1.17
Annual DPS Paid	1.0	1.0	2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
ROE (%)	14	-0.7	38.3	5.5	-14.3	1.4	7.2	12.3	15.4	18.7
Debt (\$MM)	296.1	265.8	247.0	242.0	244.6	272.6	262.4	252.6	243.1	234.0
Profitability Ratios										
Gross Margin (%)	30.2	30.1	26.7	35.6	26.4	27.9	29.5	31.0	31.8	32.8
EBITDA Margin (%)	8.0	3.2	13.4	3.7	-3.1	2.9	4.5	6.0	6.8	7.8
Profit Margin (%)	3.7	-0.2	8.3	1.4	-3.8	0.4	1.9	3.3	4.1	5.0
Operating Metrics										
Inventory Turnover	7.68	6.91	8.23	7.35	7.42	8.00	7.93	7.89	7.92	7.96
Sales/Employee (\$000)	442.4	379.5	535.0	440.8	410.7	451.6	457.7	465.1	473.1	481.7
Sales/SqFt (\$MM)	301	301	202	342	266	285	285	285	285	285

(Source: Bloomberg & BAM Analysis)

Exhibit D-2



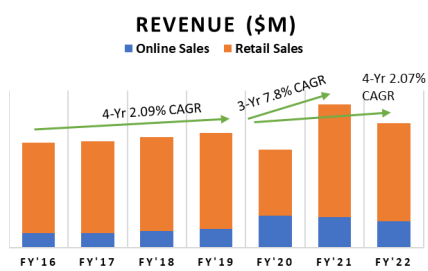
(Source: Bloomberg)

Revenue:

Increased Volatility: As with other companies in the sector, the pandemic resulted in revenue volatility for Tilly's in 2020 and is still seeing effects year-to-date. In years previous, Tilly's experienced similar YOY growth as both the average and median of a handful of comparable companies (Exhibits D-1 and D-2). In the last two years, however, Tilly's has been a slightly more volatile company as it outgrew competitors by 16% over the average in FY2021 but underperformed them in FY2022 by about 6-7%.

Temporary Growth Subsiding: Although the company's FY2022 revenue was still higher than that of FY2019, there is a noticeable drop in the revenue CAGRs when comparing the pre- and post-pandemic periods. First, the 3-year CAGR from FY2017 to 2019, exhibits slow and steady growth, generating a 1.7% revenue CAGR, whereas the 3-year post-pandemic period (FY2020-2022) shows a more significant, but temporary, 7.8% CAGR amplified by economic stimulus checks. An expanded look at 2020 to 2023, however, shows consumers running through their savings as the 4-year post-pandemic CAGR drastically drops revenue growth down to a similar rate as the 4-year pre-pandemic CAGR of 2.1% (Exhibit D-3).

Exhibit D-3

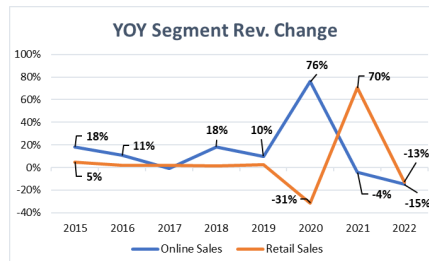


(Source: Bloomberg & BAM Analysis)

E-Commerce Revenue Declining: In FY2020, the company nearly doubled its online sales compared to its two-year prior FY2018 revenue, going from \$90MM to \$173MM. Again, however, much of this revenue generation can be attributed to unusual consumer spending. Despite Tilly's efforts to enhance its online presence, in the post-pandemic period the company is beginning to take a major hit as YOY online revenue turns negative in 2021 (-4%) and 2022 (-15%) (Exhibit D-4).

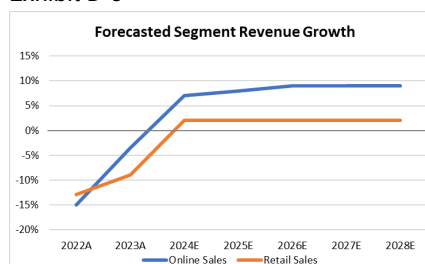
Future Forecast: In the short term, we expect Tilly's revenues to grow at a slow rate similar to consumer discretionary spending. More specifically, in 2024, we see only 2% YOY growth in revenue generated from their retail segment as the company aims

Exhibit D-4



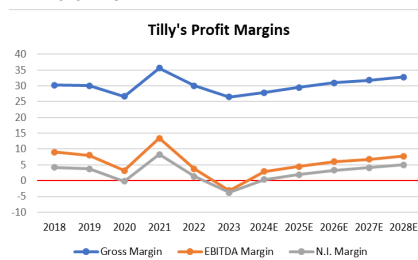
(Source: Bloomberg)

Exhibit D-5



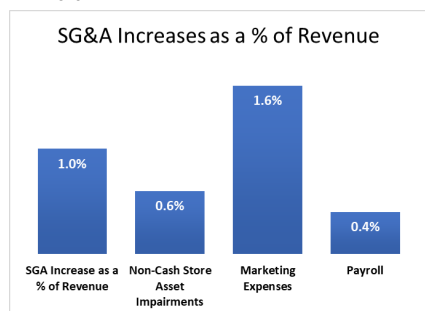
(Source: BAM Analysis)

Exhibit D-6



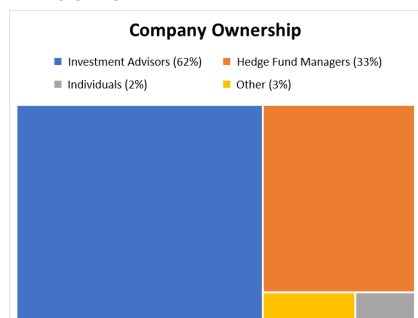
(Source: Bloomberg & BAM Analysis)

Exhibit D-7



(Source: Bloomberg)

Exhibit D-8



(Source: Bloomberg)

to exit underperforming stores. In the long term, however, if Tilly's can adjust and strengthen its e-commerce, we forecast an outpaced growth from their online segment as compared to retail (Exhibit D-5). This growth in e-commerce should help stabilize its feeble retail segment and help uplift revenue in the forecasted years.

Debt:

Tilly's debt consists primarily of its short and long-term lease contracts for its retail stores. Generally, these contracts are in place for ten years and renewed based on each individual stores' performance. Since 2016, GAAP requires companies to list their operating leases as debt on their balance sheets. For this reason, Tilly's gained a jump in debt in FY2019 to \$296.1MM, while historically, the company's debt has been near zero. This additionally increases the company's trailing 12-month debt to equity ratio to 1.08 compared to the specialty retail industry's 0.39 as adjusted for leases. Considering each lease contract contains its own guidelines and provisions, as well as the fact that they are not renewed in a lump sum, we do not see a straight-line decrease in debt payments. In 2024, Tilly's claims it will be aggressive with store closings while they face 100 possible renewal contracts; however, because of the number of renewals along with the annual 3.5% rent growth rate, we forecast a slight increase in debt for FY2024. Other than this, Tilly's does not have any public debt issued, and has only a revolving line of credit with Wells Fargo as a standby.

Profitability and Expenses:

Margins: Tilly's demonstrates turbulent margins following the macroeconomic headwinds of the last few years. Profit margins have turned negative since the fourth quarter of FY2022, falling to -2.2% in the trailing 12 months from Q3 FY2023, and placing it even further below the industry's 3.9% average. EBITDA margins have toppled by 59% since pre-pandemic years, while gross margins remain stable, falling only 0.1% since FY2019. This decline in net income and EBITDA margins is largely due to increased markdowns and estimated inventory valuation reserves. We predict margins will slightly increase in FY2024 and continue into further years as the company's shift toward e-commerce lowers retail-related expenses, and as consumer spending increases over time (Exhibit D-6).

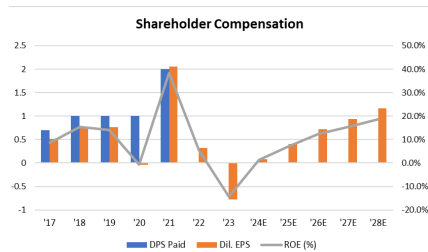
Selling, General, and Administrative Expenses (SG&A): SG&A has slightly heightened over the past five years largely due to increases in costs from inflation and wages. Despite the increase, SG&A as a percentage of revenue has remained stable over the past five years, shifting from 26% of revenue in FY2017, to 28% of revenue in FY2022, and remaining below the comparable average of competitors' 38% (Exhibit D-7). Store payroll comprised up to 47% of Tilly's SG&A expenses for the first nine months of FY2023. Average hourly rates for the same period were 26% greater than the pre-pandemic first nine months of FY2019 and 7% higher than the first nine months of FY2022. We predict expenses to generally stabilize as inflationary pressures on retail costs subside and remain in the range of 27-30% of sales as they have been historically.

Dividend Policy:

Dividend History: From FY2017 to FY2021, Tilly's paid out an accumulated \$5.70 in special dividends to common shareholders who primarily consist of institutional owners (Exhibit D-8). The payouts began in FY2017 with a \$0.70 DPS payment as the company's EPS shifted from negative to positive while also generating nearly 20% more in excess cash compared to the previous year. From FY2018 to FY2020, Tilly's paid an increased \$1.00 DPS, despite its negative EPS in 2020, emphasizing the company's positive outlook and belief of poor earnings being temporary. This was largely influenced by an amended line of credit agreement with Wells Fargo Bank in 2018 that allowed the payment of dividends or distributions to stockholders. In FY2021, Tilly's paid out its last dividends with two \$1 distributions as the company set record-high sales and EPS. Finally, in FY2022, Tilly's saw a regression to its pre-pandemic mean in its EPS along with a -13% drop in revenue, leading them to place their aggregate earnings into short term investments rather than pay dividends (Exhibit D-9).

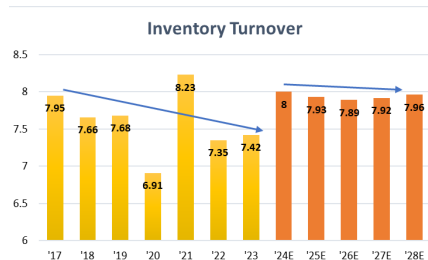
Share Buyback: In the first quarter of FY2022, Tilly's board of directors authorized a share repurchase program spanning one year and allowing them to buy up to two

Exhibit D-9



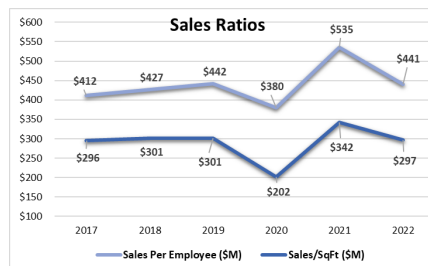
(Source: Bloomberg & BAM Analysis)

Exhibit D-10



(Source: Bloomberg & BAM Analysis)

Exhibit D-11



(Source: Refinitiv)

million Class A shares at the prevailing market price. By the end of the given year (March 2023), Tilly's repurchased a total of 1,258,330 shares at an average price of \$8.63, totaling \$10.9 MM in buybacks. Although this showcased the company's aim to create shareholder value, Tilly's has not recently communicated a repeated intent to repurchase more of its shares, despite the significantly lower stock price.

Forecasts: We expect a moderate upward trend of EPS through FY2028 as the company is expected to reorganize its brick-and-mortar structure along with its rising expenses. In the longer term, as the company begins to find its footing, a re-issuance of dividends or a reauthorization of stock repurchase programs is possible, although we did not forecast it happening within the given time period.

Operating Metrics:

The company has not been able to meaningfully increase its productivity over the last few years. A gradual downtrend of the company's historical inventory turnover has continued despite the outlier year of 2021 (Exhibit D-10) although it has notably been able to beat out the industry's inventory turnover median of 3.79. Still, Tilly's has room for improvement as its sales per employee and sales per square foot remain relatively stagnant (Exhibit D-11). In particular, the company's sales per square foot have shown near 0% growth since 2018, while its sales per employee ratio has fallen to a level just above that of pre-pandemic 2019. As the company begins to see a decline in YOY revenue, it must reassess the pace at which it opens its stores in order to improve these ratios. In 2022, for example, Tilly's opened eight more stores, higher than its five-year average of 2.6% and ultimately straining its sales per square feet, and sales per employee metrics. As the company claims it will cut down the number of unproductive stores in the next year, we forecast an increase in inventory turnover going into FY2024. After that, however, we anticipate a marginal decline as consumer movement toward online shopping grows more prominent (Exhibit D-10).

Environmental, Social, Governance (ESG)

Environmental

Better Cotton for Everyone: In 2022, Tilly's implemented the "Better Cotton Initiative (BCI)," which ensures that clothing manufacturers are sourcing materials with a less harmful environmental and social impact including, crop protection, water conservation, soil health, and decent working conditions. Within this collaboration, Tilly's is striving to maintain 50% of the cotton used in their branded clothing from BCI by 2026, as they currently stand at 27% BCI cotton used in their proprietary brands.

Restoring the Environment: In 2021, Tilly's launched the "Restored by Tilly's" program, which extended the life of garments and materials that would have otherwise ended up in landfills. This collection takes place in 14 stores and ends the FY2022 with over 4,000 units restored and sold. This program seeks to re-work and use materials that would lessen Tilly's environmental impact while also revamping these undesirable clothing items by displaying them in a more nostalgic and vintage look for their targeted demographic ranging from teenagers to young adults (13-26).

Distribution: In Tilly's distribution center operations, all corrugated boxes used for shipping its products are made from previously used corrugated material. During FY2022, Tilly's reused approximately 60% of those corrugated boxes for future shipping needs and recycled the remaining 40% of corrugated boxes.

Third-Party Contributions: "Sustainability Matters" is the slogan that drives Tilly's to be more environmentally friendly within the products they sell. Tilly's partners with notable third-party brands such as Levi's, The North Face, Hydro Flask, Quiksilver, Volcom, Obey, and Billabong while also making changes to the manufacturing of their proprietary brand to lessen the environmental impact of clothing and accessories that they sell. Recycled materials account for 6% of the 1,800 products offered.

Social

Charitable Organization: Tilly's Life Center (TLC) is a non-profit charitable organization managed by the co-founder Tilly Levine, geared towards the empowerment of youth and with a focus on the improvement of self-confidence through educational programs. Tilly's dedicates a portion of office space from its e-commerce distribution center to the organization for its operations. Through the "We Care" organization, Tilly's provides mental health outlets for the youth and combats the mental hardships they fight today. In addition, Tilly's maintains a "We Care" program that is in partnership with third-party brands to focus on assisting mental health, academic, art, and athletic programs at local schools from the surrounding communities that they serve.

Manufacturing: Much of Tilly's Manufacturing is done in China and Mexico, which have different labor practices than the U.S. Tilly's does not independently investigate whether their suppliers are operating in compliance with all acceptable laws, and therefore, they rely on the suppliers' representation in purchase orders and vendor agreements.

Human Capital Management: Tilly's provides a variety of health and wellness programs for their corporate employees to promote healthy lifestyles, including periodic onsite health fairs, blood drives, breast cancer screenings, and flu shots. They provide periodic diversity and anti-harassment training for all employees to improve workplace sensitivity. They also distribute monthly health tips and guidelines to encourage healthy living habits in addition to providing weekly fruit deliveries to their corporate office and distribution center break rooms to promote healthier eating choices.

Governance

Board Members: Six of the eight members of the company's board of directors are independent under applicable NYSE rules. Each of the board committees is chaired by and composed of only the independent board members, consistent with NYSE requirements. The board is composed of five individuals who self-identify as men and three individuals who self-identify as women. Two members have self-identified as underrepresented minorities.

Dual Class: Tilly's voting power is distributed unevenly within two classes of shares. Class A grants one vote per share, while Class B grants ten votes. The company's co-founders, Hezy Shaked and Tilly Levine, own all class B shares and control 76.4% of the total 95 million votes, making Tilly's a controlled company under the NYSE standard.

Executive Compensation: Tilly's executives are compensated under the verdict of its compensation committee, which consists of three individuals; all of whom serve as members of the board of directors. Hezy Shaked, the co-founder and Executive Chairman of the Board holds a close advisory role in the discussions about compensation of the other executive officers, but does not play a role in the discussion of his own compensation which shows the involvement of Mr. Shaked in different sections of the business. In FY2022, Tilly's executives earned 12.8% more in salary but 12.2% less in stock options, relative to executives in comparable companies. In the same period, the base salaries for three out of the five board of directors have increased by 3.0% from the year prior, despite the company's negative earnings and lack of growth. The company also approved of an incentive cash bonus for all executive members based off a minimum performance threshold in both comparable sales growth, operating income, and e-commerce. However, none of the performance-based bonuses were awarded to the executives because they did not achieve any of the required minimum thresholds.

ESG Comparison: Where Tilly's Stands in the Universe

Comparables: We view Tilly's in the middle of the pack of specialty retailers (Abercrombie & Fitch, American Eagle, Citi Trends, Destination XL, Duluth, Genesco, J Jill, Urban Outfitters, Buckle Inc, and Zumiez) when it comes to ESG initiatives. This group of retailers involves companies such as Abercrombie & Fitch and Urban Outfitters, which we view as industry leaders in ESG, while also including companies relatively the same market cap (Citi Trends, Destination XL, Duluth, etc.) to see how Tilly's compares to companies relatively similar in size.

Analysis: Environmentally, Tilly's engagement in the Better Cotton Initiative, targeting 50% Better Cotton by 2026 from 27% in 2022, indicates a progressive approach but is still lagging by peers' more immediate actions. Socially, Tilly's excels in community engagement through support for TLC and local programs, alongside product donations to charities. Corporate employees benefit from health screens and mental health programs, though such benefits are not extended to non-corporate staff, marking an area for improvement. In terms of the governance, the concentrated voting power between the two founders (76.4%) raises concerns on voting power among common shareholders, a challenge less pronounced in companies like Abercrombie & Fitch and Urban Outfitters who do not have such discrepancies. According to our custom developed ESG Matrix (Appendix 2-1), Tilly's scores 3 out of 5 derived from evaluating weightings in ethically sourced materials, environmentally friendly production methods, board diversity, and social responsibility. This score highlights the company's modest ESG commitment.

Investment Risks

Company-Specific Risks

Merchandise Model: Third-party merchandise has accounted for around 70% of net sales for Tilly's over the past five years. Although the company's proprietary merchandise generally yields higher gross margins, Tilly's must provide a large holding

of third-party brands to uphold perceptions of being a diverse store according to customer expectations. Tilly's risks losing a portion of its income if it loses business with a principal third-party vendor. Although no third-party brand accounted for more than 5% of the company's net sales as of FY2023, Tilly's remains in a vulnerable position as its reliance on third-party brands poses unforeseeable variables. For example, certain brands may have to raise prices; a problem Tilly's cannot accurately account for when forecasting its sales and expenses. In addition, a lot of the brands Tilly's offers may be in direct competition with the company. As Tilly's seeks to expand its online presence, the company will not be able to leverage its in-store experience as a tactic, leaving it vulnerable to the highly competitive online market.

Questionable Governance: The prevailing voting power within Tilly's is predominantly concentrated in the hands of the company's co-founders, Hezy Shaked and Tilly Levine, through their exclusive ownership of Class B shares. Mr. Shaked is also the Executive Chairman of the Board and wields more than 50% of the voting power. This scenario raises concerns about the stakeholder interests and the efficacy of corporate governance, given that less than 24% of the company is owned by minority shareholders. Revealed in the company's proxy statement, Tilly's states they provide an annual car allowance of \$18,000 to each Mr. Shaked and Ed Thomas. This payment was still distributed in FY2023 despite the company's negative profit and lack of growth. This information calls into question the company's corporate governance practices and the alignment of shareholder interest within Tilly's. In addition, executive base salaries for three out of the five board members rose by 3.0% in FY2022.

Leadership Risk: The former president and CEO for Tilly's, Ed Thomas, has retired as of January 23, 2024, leaving Tilly's to place co-founder and current Executive Chairman of the Board Mr. Shaked as interim CEO until a successor is placed. Currently, no further information has been made public for the unexpected vacancy of the CEO position.

Fashion Trend Identification: Identifying and staying in style with merchandise mix poses significant challenges due to the extended time needed to deliver products made overseas. Retailers must plan and strategize their fashion trend identification as well as inventory management accordingly. With the addition of Laura Janney as the new Chief Merchandising Officer in 2023, the implementation of new merchandising strategies may not be seen until the late 1Q FY2024 due to merchandise having been purchased three to four months in advance. This could hinder the performance of sales as Tilly's has to stay the course with the bought merchandise that will fill their shelves for the Christmas holidays, one of the busiest and most profitable times of the sector.

Industry-Specific Risks

Retail Real Estate & Foot Traffic: During the pandemic, lockdowns led to diminished foot traffic by as much as 51% during COVID heights. Although the economic reopening helped bring equilibrium to many retailers' revenue, consumer foot traffic remains scarred with slight downtrends compared to pre-pandemic activity. Most notably, in March 2023, foot traffic for brick-and-mortar retailers was still down by 8.1% compared to pre-pandemic 2019, according to a report by Shopify. Despite the decline in foot-traffic along with an increasing national retail rent growth rate of 3.5%, retail real estate continues to show persistence as U.S. store openings outpace store closings in 2023, as noted by a report from Deloitte. Ultimately, brick-and-mortar retailers will have to strategically consider their store locations regarding foot-traffic changes on a broad and narrow scale, in addition to enhancing their individual in-store "experiences". For example, on a narrow scale, when looking at net absorption measures, we see malls and strip centers experience an overall declining trend (Appendix 3-1), displaying a depleting demand for these shopping areas. On a broader scale, cities such as Phoenix and Houston display strength as growing areas to be considered for market entry or expansion (Appendix 3-2).

Climate Change: Changing weather patterns and severity of these patterns greatly affect the specific needs of consumers within many different geographical locations. With climate change extending and even shortening some seasons in the past years, more specifically in California, this can cause supply chain issues depending on seasonality and may lead to a loss of sales if, for example, summer styles get cut short while winter extends past its "normal" climate timeframe. The loss of sales from seasonal extensions leads to missed revenue opportunities and inventory issues due to the fast turnover of the industry. Specifically, per Tilly's CFO Michael Henry, Tilly's has been experiencing unforeseen issues with climate change leading to summer clothing sitting on shelves because the weather is cold, and ultimately causing the company to lose profits as they are forced to mark down products.

Rising Wages and Legislation: As of 2023, the U.S. unemployment rate has stabilized below 4% with retail jobs coming into a healthier equilibrium (Appendix 3-4); however, businesses continue to grapple with the byproduct of increased labor costs. Workers seeking wages that keep pace with recently high inflation have placed additional pressure on employers, particularly in the retail sector where many jobs are at the entry-level, minimum-wage bracket. This has limited the ability of retail businesses, especially brick-and-mortar stores, to reduce on-the-ground administrative expenses. Specifically, three of Tilly's largest foothold states (California, Florida, and Arizona), making up around 63% of their total stores at the end of FY2023, present rapidly rising wages over the past five years (Appendix 3-3). Most notably, California, which made up around 40% of all retail locations, has seen a five-year minimum wage growth of 41%, with another recent increase in 2024 to \$16 an hour. Additionally, California has pushed for an increase in fast-food workers minimum wage toward \$20 an hour, leaving implications for other industries who may have to proportionally compete. Following California, Florida

(7.5% of locations) has seen a 33% minimum wage increase over the past five years, with Arizona (6% of retail locations) right behind at a 32% increase.

Valuation

Our weighted average target share price of \$5.50 for Tilly's was derived using a combination of intrinsic (DCF) and relative valuation methodologies. We applied weightings of 50% to a free cash flow to firm model and 50% to relative valuation (RV). Thus, with a current stock price of \$7.50 as of 1/26/24, our target price suggests a downside of -26.7%.

Free Cash Flow to Firm Model: This model used our forecasted Earnings Before Interest After Taxes (EBIAT) plus depreciation and amortization (D&A), while subtracting capital expenditures (CapEx) and change in Net Working Capital (NWC) to arrive at unlevered free cash flows. For these forecasts we based revenue, COGS, SG&A, D&A, NWC, and CapEx on a historical basis of trends that we expect to continue for the foreseeable future. We calculated earnings before interest after taxes (EBIAT) by forecasting net income subtracting any taxes (accounting for any carryforward of net operating losses). We then discounted the cash flows at the company's weighted average cost of capital (WACC) of 9.1%. Our WACC calculation consists of several adjustments that had to be made, with inputs of a cost of debt derived from the weighted average interest rates of their operating leases (6.6%), a bottom-up beta (2.13), and an implied equity risk premium (4.46%).

Bottom-Up Beta Approach: We decided to use a bottom-up beta approach of 2.13 instead of its 5-year monthly beta of 1.65 because a financially distressed company like Tilly's is often more sensitive to the overall market downturn than what its historical beta reflects. For this methodology, we calculated our proprietary beta by taking the betas of a group of the same comparable companies used in our RV (Buckle Inc, Citi Trends, Destination XL, Duluth Holdings, Genesco, J Jill Inc, Zumiez, Abercrombie & Fitch, Urban Outfitters, and American Eagle Outfitters) along with Tilly's then de-levered all betas and by taking the median on the de-levered betas, we then re-levered the median beta using the debt to equity ratio (1.51) and effective tax rate of Tilly's (26.5%) to derive our own beta for Tilly's. For their cost of equity (CAPM) estimation of 13.7%, we used the bottom-up beta of 2.13, implied equity risk premium (4.46%) derived from discounting the future expected cash flows of the S&P 500, and current risk-free rate (4.1%). From all these calculations combined, we were able to arrive at our WACC of 9.1%.

Additional Inputs: We implemented a mid-year convention (0.5) for our cash flow discounts in the FCFF model as the company's revenues are earned on a relatively equal basis throughout the year. Additionally, we used a terminal growth rate (TGR) of 2.0% as we believe at maturity the company will grow at half the rate of nominal GDP, considering its core customer demographic of adults aged 15-64 are growing at a 20Y CAGR of 0.56% and with Tilly's inability to pass on inflation towards its consumers.

DCF Sensitivity Analysis: For our DCF model we implemented sensitivity analysis with three scenarios of varying future outlooks: base, conservative, and optimistic. We took the weighted average of these scenarios with a 60% weighting towards base case, 20% towards conservative, and 20% towards optimistic, resulting in an implied share price of \$4.65. The following sections explain our methodology for each scenario:

- **Base Scenario:** We first categorized Tilly's revenues into two segments: retail stores and e-commerce. Recently, the company's retail stores revenue segment has been a highly volatile segment due to recent macroeconomic developments with substantial fluctuations in both positive and negative directions, however, we expect this segment to stabilize and grow at its 3Y pre-pandemic CAGR of 1.88% for FY2025-29. On the other hand, Tilly's e-commerce has been growing at around an 8% CAGR for the past five years, with stable increases in the e-commerce segment due to an acceleration of structural shifts post-covid, we believe that Tilly's will keep up this trend and do slightly better reaching up towards a 9% growth in this segment. For COGS and SG&A (OpEx), we followed historical trends as it has consistently been around 70% and 27% of sales for the past five years, respectively. We also maintained them high, given we expect margin headwinds from pricing power and payroll expenses. We expect these costs to remain in this trend given a strong labor market and payroll increases. The effective tax rate of Tilly's on average has been around 27%, and we kept it flat throughout our forecast. CapEx and D&A have been 2% of sales in the past, so we keep both 2% of sales. Change in NWC have been around 2% of sales in the past and expect it to remain stable, given the stable revenue increases we are projecting. For this scenario, after we discounted the cash flows with our inputs of WACC (9.1%), TGR (2%), and mid-year convention (0.50), we added the present value of the unlevered cash flows and terminal value, arriving at an enterprise value of \$292MM, where we then subtracted debt (operating leases) of \$245 (MM), and added back their Cash and Cash Equivalents of \$94MM to get an equity value of \$142MM. We then divided it by the amount of fully diluted shares, which resulted in an implied stock price of \$4.67.
- **Conservative Scenario:** In our conservative scenario, we assumed a 2025-2029 CAGR of 1.5% for the revenue from retail stores, a reduction of 0.5% from its pre-pandemic 3Y CAGR of around 2%. Our forecast reflects recent macroeconomic volatility and a slowdown in consumer spending. For the e-commerce segment, we predicted a

2025-2029 CAGR of 6.75%, around 2.0% below the past 7Y CAGR of 8.75%. In this scenario, Tilly's is unable to catch up to the industry e-commerce growth rate and keeps falling. We kept the COGS and SG&A the same, given strong historical trends are expected to remain unchanged. We assumed the same WACC of 9.1% and with a lower slightly lower terminal growth rate of 1.8% (decreased by 0.2%) due to poor sales performance. In sum, we obtained a target price of \$4.08.

- **Optimistic Scenario:** In our optimistic scenario, we assumed a 2025 -2029 CAGR of 2.5% for the revenue from retail stores, an increase of 0.5% from its pre-pandemic 3Y CAGR of around 2%, very close to the projected 5Y CAGR of 3% (2023-2028) for the industry. This assumption is optimistic considering that Tilly's has trailed the industry CAGR historically. For the e-commerce segment, we projected a 2025-2029 CAGR of 10.75%, around 2% above the past 7Y CAGR of 8.75%. This projection reflects a scenario where Tilly's achieves an e-commerce growth rate comparable to the past 5Y CAGR of 10% for the industry online sales. We kept the COGS and SG&A the same as in other scenarios. Finally, we assumed the same WACC of 9.1% and with a higher terminal growth rate of 2.2% (increased by 0.2%) as it is able to achieve more sales. In sum, we obtained a target price of \$5.50.

Relative Valuation (RV):

Our relative valuation model derives from a selection of companies within the same subsegment of the specialty apparel retailer's industry according to the Global Industry Classification Standard (GICS) per Bloomberg. After having obtained the subset of companies in the industry, we used an equal weighted average for the three ratios: Price to Sales 2024E (P/Sales (2024E)), Price to Book Value per Share 2024E (P/BPS (2024E)), and Enterprise Value to Sales (EV/Sales (2024E)). It is important to note that all ratios derived from Bloomberg analyst consensus, however we used our own estimates for Tilly's. Our equally weighted average target price per share is \$5.82 for the RV valuation as of 1/26/24. The following sections explain our methodology for each RV metric:

- **P/Sales (2024E):** We used P/Sales (2024E) as it gauges market pricing per future expected revenue performance. We observed that the industry average P/Sales (2024E) multiple was 0.48, with the first quartile of the industry having a P/Sales (2024E) multiple of 0.25. We applied our own Tilly's 2024E Sales per share estimate of \$21.07 times the quartile 1 industry multiple of 0.25, as it was a better representation of Tilly's valuation, given it is a laggard. This led to a price target of \$5.20 via the usage of the P/Sales (2024E) multiple for quartile 1 of its peers. When applying analyst consensus FY24E sales per share of \$20.85 for Tilly's with the quartile 1 multiple of 0.25 (stayed the same after consensus input vs our estimate) it led to a target price of \$5.15. Our results varied by 1% against Street's consensus, as our forecasted earnings for FY24E were slightly more optimistic than analyst consensus for Tilly's. We applied a 33% weighting to the target of \$5.20.
- **P/Book Value per Share (2024E):** We used P/BPS (2024E) to assess market pricing per future expected asset efficiency, especially important in the retail industry which tends to have significant tangible assets. We observed that the industry average P/FY24E BPS multiple was 2.31, with the first quartile of the industry having a P/BPS (2024E) multiple of 1.22. We applied our own estimate of FY24E BPS (\$5.58) via usage of historical balance sheet trend, times the quartile 1 multiple of 1.22, as we felt quartile 1 being a better representation. This led to a target price of \$6.79 a share, giving us a slightly higher price target than analysts' consensus of \$6.04 for Tilly's, with the same methodology. We applied a 33% weighting to the target of \$6.79.
- **EV/Sales (2024E):** We chose EV/Sales (2024E) because it eliminates capital structure differences between companies, offering a more direct comparison of market valuation for future expected top-line growth, which is a useful metric for valuing companies that are currently unprofitable such as Tilly's. It is also important to note that when performing this methodology, Bloomberg adjusted operating leases as debt for all companies. We observed that the industry average EV/Sales (2024E) multiple was 0.76, with the first quartile of the industry having an EV/Sales (2024E) multiple of 0.50. We applied our own estimate of Tilly's enterprise value \$292MM, deriving from our DCF Model times the quartile 1 multiple of 0.50, as we felt quartile 1 being a better representation for enterprise value comparable due to market caps. Thereafter, we subtracted Tilly's debt \$245MM and added back cash \$94MM to get equity value, where it was then divided by diluted shares outstanding. This led to a target price of \$5.66 a share, giving us a slightly higher price target than analysts' consensus of \$5.55 for Tilly's, with the same methodology. We applied a 33% weighting to the target of \$5.66.

Appendix 1: Valuation

1-1. Valuation Result (50/50 Blend)

Results: 1/26/24	Method	Weight
FCFE	\$4.65	50%
RV	\$5.81	50%
Current Price	\$7.50	
Weighted Price	\$5.50 (rounded up)	
Upside (Downside)	-26.7%	

DCF Assumptions (Sensitivity)			
Parameters	Conservative (Difference from Base)	Base	Optimistic (Difference from Base)
Retail Sales 2025-2029 CAGR	1.5% (-0.5%)	2.0%	3% (+0.5%)
E-Commerce Sales 2025-2029 CAGR	6.75% (-2.0%)	8.75%	10.75% (+2.0%)
Total Sales 2025-2029 CAGR	2.8% (-0.9%)	3.7%	5.1% (+1.4%)
WACC	9.1%	9.1%	9.1%
Terminal Growth Rate	1.8% (-0.2%)	2.0%	2.2% (+0.2%)

1-2. Income Statement

	2019A	2020A	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028A
Revenue (\$MM)										
Retail Stores	521	358	610	531	484	493	503	513	523	534
% Growth	2%	-31%	70%	-13%	-9%	2%	2%	2%	2%	2%
E-Comm	98	173	166	141	136	146	157	172	187	204
% Growth	10%	76%	-4%	-15%	-3%	7%	8%	9%	9%	9%
Total Revenue	619	531	776	672	620	639	661	685	710	738
% Growth	3%	-14%	46%	-13%	-8%	3%	3%	3%	3%	3%
Cost of Revenue (\$MM) & OpEx (\$MM)										
Total COGS	433	389	499	470	456	461	466	473	484	496
% Growth	4%	-10%	28%	-6%	-3%	1%	1%	2%	2%	2%
Total SG&A	158	145	189	192	197	176	182	188	195	203
% Growth	6%	-8%	30%	1%	3%	-11%	3%	4%	4%	4%
EBIT (\$MM)										
EBIT	28	-3	88	11	-32	3	13	24	31	39
% of Sales	5%	-1%	11%	2%	-5%	0%	2%	3%	4%	5%
Taxes										
Pre-Tax Income	31	-3	88	11	-32	3	13	24	31	39
Carry Forward NOLs	-	-	-	-	-32	-32	-29	-24	-17	-9
Taxes	9	-1	23	4	-9	0	1	1	2	2
Tax Rate	28%	52%	26%	27%	27%	27%	27%	27%	27%	27%
Net Income	22	-2	65	7	-23	3	12	23	29	37

1-3. DCF Base Case

DCF	2019A	2020A	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Revenue (\$MM)	619	531	776	672	620	639	661	685	710	738
EBIT	28	-3	88	11	-32	3	13	24	31	39
Taxes	9	-1	23	4	-9	0	1	1	2	2
Tax Rate (%)	28	52	26	27	27	27	27	27	27	27
EBIAT						3	12	23	29	37
D&A	21	19	17	14	13	16	16	17	18	18
CapEx	14	8	13	15	14	15	15	16	16	16
Change in NWC	9	-8	7	33	25	11	12	12	13	13
Unlevered FCF						-8	2	12	18	26
PV of UFCF						-8	2	9	14	17
Discount Period						0.50	1.50	2.50	3.50	4.50
Terminal Value	397.97									
PV of TV	257.54									
Enterprise Value	292									
(+) Cash	93.9									
(-) Debt	245									
Equity Value	142									
Dil. Shares	30.32									
Implied Price	\$4.67									
Upside/Downside	-38%									

1-4. Relative Valuation (2024E)

Comparable Companies	Sales Per Share	P/Sales	Book Value Per Share (BPS)	P/BPS	Enterprise Value (\$MM) - Adjusted for Leases	EV/Sales
Citi Trends, Inc.	\$91.80	0.29	-	-	413.23	0.55
Duluth Holdings Inc.	\$19.98	0.25	-	-	380.53	0.58
J. Jill, Inc.	\$42.91	0.57	-	-	496.75	0.81
Abercrombie & Fitch Co.	\$83.75	1.21	\$25.13	4.02	5,559.00	1.27
Urban Outfitters, Inc.	\$57.36	0.69	\$28.59	1.39	4,191.60	0.78
American Eagle Outfitters, Inc.	\$26.20	0.77	\$10.79	1.87	4,975.20	0.93
Buckle, Inc.	\$244.35	0.15	\$8.32	4.35	1,774.89	1.46
Destination XL Group, Inc.	\$7.84	0.53	-	-	347.94	0.66
Zumiez Inc.	\$46.37	0.38	\$20.10	0.87	454.60	0.50
Genesco Inc.	\$181.95	0.15	-	-	938.77	0.41
Tilly's, Inc	\$21.07	0.35	\$5.58	1.33	292	0.46
Average	\$46.37	0.48	\$16.42	2.31	496.75	0.76
Quartile 1	\$21.07	0.25	\$7.63	1.22	380.53	0.50

BAM Estimations:

1/26/2024	Price Target with Average Multiple	Price Target with 1 st Quartile Multiple	Weight
Price/Sales (2024E)	\$10.38	\$5.17	33%
Price/Book Value Per Share (2024E)	\$12.86	\$6.79	33%
EV/Sales (2024E)	\$11.19	\$5.66	33%
Tilly's Price	\$7.50		
Target Price	\$5.81		
Upside (Downside)	-22.5%		

Bloomberg Analyst Consensus:

1/26/2024	Average	Quartile	Weight
Price/Sales (2024E)	\$10.11	\$5.15	33%
Price/Book Value Per Share (2024E)	\$11.21	\$6.04	33%
EV/Sales (2024E)	\$11.02	\$5.55	33%
Tilly's Price	\$7.50		
Target Price	\$5.58		
Upside (Downside)	-25.5%		

1-5. Bottom-Up Beta

	5Y Levered Beta (LB)	Debt/Equity (D/E)	Tax Rate (t)	Unlevered Beta = LB / (1+ (D/E) * (1-tax))
Citi Trends, Inc.	2.28	1.06	30.8%	1.37
Duluth Holdings Inc.	1.27	1.40	23.0%	0.61
J. Jill, Inc.	0.91	1.17	28.1%	0.49
Abercrombie & Fitch Co.	1.56	0.22	12.6%	1.31
Urban Outfitters, Inc.	1.52	0.30	27.8%	1.25
American Eagle Outfitters, Inc.	1.54	0.31	29.9%	1.27
Buckle, Inc.	1.21	0.16	24.0%	1.08
Destination XL Group, Inc.	1.36	0.65	25.5%	0.92
Zumiez Inc.	1.48	0.71	34.4%	1.01
Genesco Inc.	2.28	2.10	24.6%	0.88
Tilly's, Inc	1.62	1.51	26.5%	0.77
Median	1.52	0.71	26.5%	1.01
Average	-	0.87	26%	1.00

Unlevered Beta Median (UB)	1.01
Bottom-up Beta = UB *(1+ (Tilly's D/E) * (1-Tilly's tax))	2.13

Appendix 2: ESG

2-1. ESG Matrix

Strategic Factors	Weight	Rating	Weighted Score	Comments
Environmental				
Sustainable Product Expansion and Material Sourcing	0.25	3	0.75	Tilly's expansion to 1,800 sustainable product choices and participation in the Better Cotton Initiative reflect positive steps. However, compared to industry benchmarks, there is potential for more aggressive targets and wider sustainable material sourcing.
Waste Management and Recycling Initiatives	0.15	4	0.60	Tilly's initiatives, such as the Trex partnership and high use of post-consumer recycled materials, are commendable. Further expansion and transparency in these areas could enhance their score.
Social				
Community Engagement and Social Responsibility	0.20	4	0.80	Tilly's has a strong involvement in community programs and support for Tilly's Life Center Foundation, however, opportunities exist to broaden the scope of these initiatives.
Employee Well-being and Diversity Programs	0.10	3	0.30	Tilly's shows commitment through health initiatives and diversity training. However, there's room for more comprehensive programs, especially for non-corporate employees.
Governance				
Board Diversity and Ethical Conduct	0.20	2	0.20	Tilly's maintains a diverse board composition with strong ethical guidelines. However, the centralization of voting power raises governance issues. Additionally, the retirement of CEO Ed Thomas amidst financial challenges introduces further uncertainty.
Compliance and Transparency	0.10	3	0.30	Tilly's has established policies like the whistleblower hotline, but there is a need for greater transparency in ESG reporting and practices.
Total	1.00		3 (rounded)	Overall Assessment: Tilly's showcases subpar ESG Initiatives. As a result, there is significant potential for growth, especially in enhancing sustainability measures, broadening social responsibility programs, and improving governance transparency. This scorecard suggests a path towards a more robust and comprehensive ESG strategy in line with industry standards.

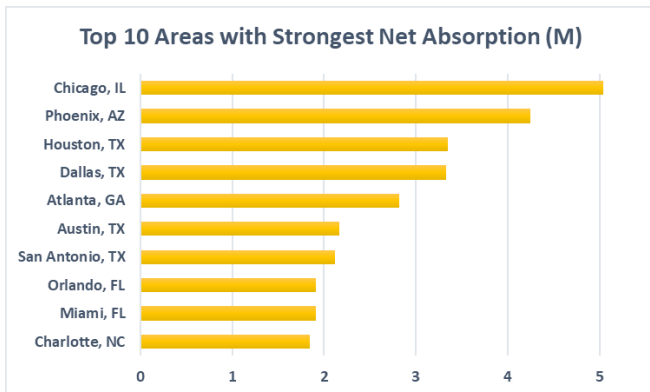
Appendix 3: Industry Risks

3-1. Net Absorption by Retail Center Type

Net Absorption (SqFt)			
	2015 Q3	2019 Q3	2023 Q3
General Retail	57.22MM	16.38MM	33.34MM
Mall	11.9MM	-4.21MM	2.78MM
Neighborhood Center	33.25MM	12.55MM	17.77MM
Other	2.71MM	0.15MM	0.38MM
Power Center	8.84MM	1.41MM	4.13MM
Strip Center	8.44MM	5.31MM	3.04MM

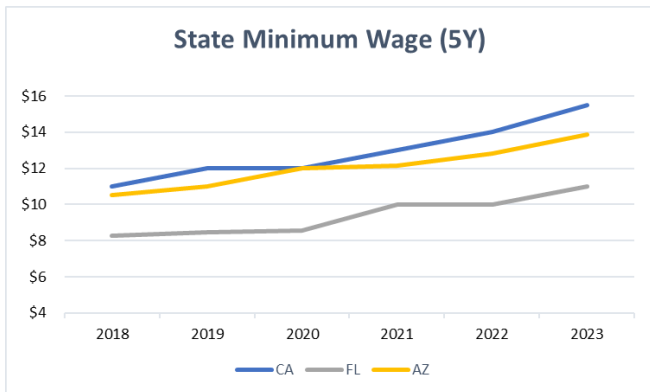
(Sources: National Association of Retailers)

3-2. Net Absorption Strength by Area



(Sources: National Association of Retailers)

3-3. Minimum Wage Growth (CA, FL, AZ)



(Source: FRED)

3-4. Retail Trade Job Openings



(Source: FRED)

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